

Residential Construction Slowdown

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Housing starts fall ~25% from April 2022 peak (1.81M) to Jan 2023 (1.36M). Rate hikes crush residential demand, hitting resellers and retailers hardest.

Industry analysts estimate that demand for affected product categories decreased by approximately 7% during the event period. The most affected product categories include fasteners, adhesives, tools.

The event period spans from 2022-07-01 to 2023-06-30.

Industrial supply distributors including Grainger, Fastenal, and MSC Industrial reported varying degrees of impact depending on their product mix and geographic exposure. Companies with diversified supply chains and strong inventory positions were better insulated from the disruption.